

Business Plan for VersaHorn

Levi Terry

UAT

BUS200: Entrepreneurship to Market

Dr. Mark “The Shark” Smith

12/15/23

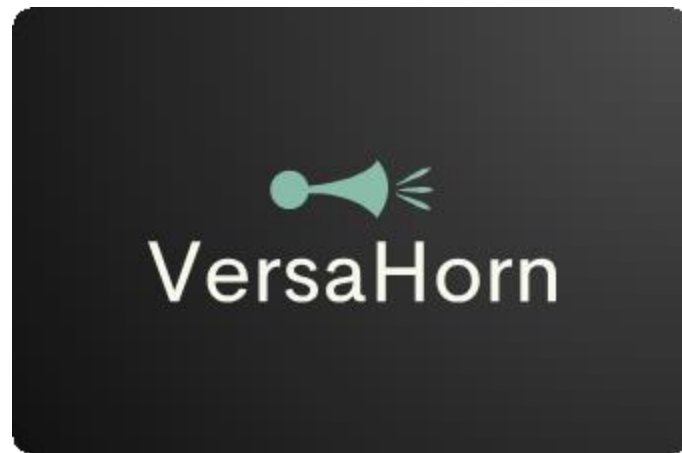


Table of Contents

<u>Executive Summary</u>	3
<u>Company Description</u>	4
<u>Marketing Plan</u>	5
<u>Market Research</u>	7
<u>Product Testing Procedures</u>	9
<u>Launch Plan</u>	10
<u>Expenses</u>	11
<u>References</u>	12

Executive Summary

Product

VersaHorn will sell devices allowing users to add customizable horn sounds to a vehicle. The devices will start out being custom-ordered and 3D printed. Potential expansion could include additional space for manufacturing and warehousing.

Figure 1 below is an example of the 12-button version that is currently created utilizing a 3D printer. Other enclosure options may include 8-button and 4-button versions that are less expensive but have a smaller enclosure that is more easily installed. In the future, the custom 12, 8 and 4 button housings will be manufactured by a 3rd party manufacturing facility for a greater and quicker turnaround time.

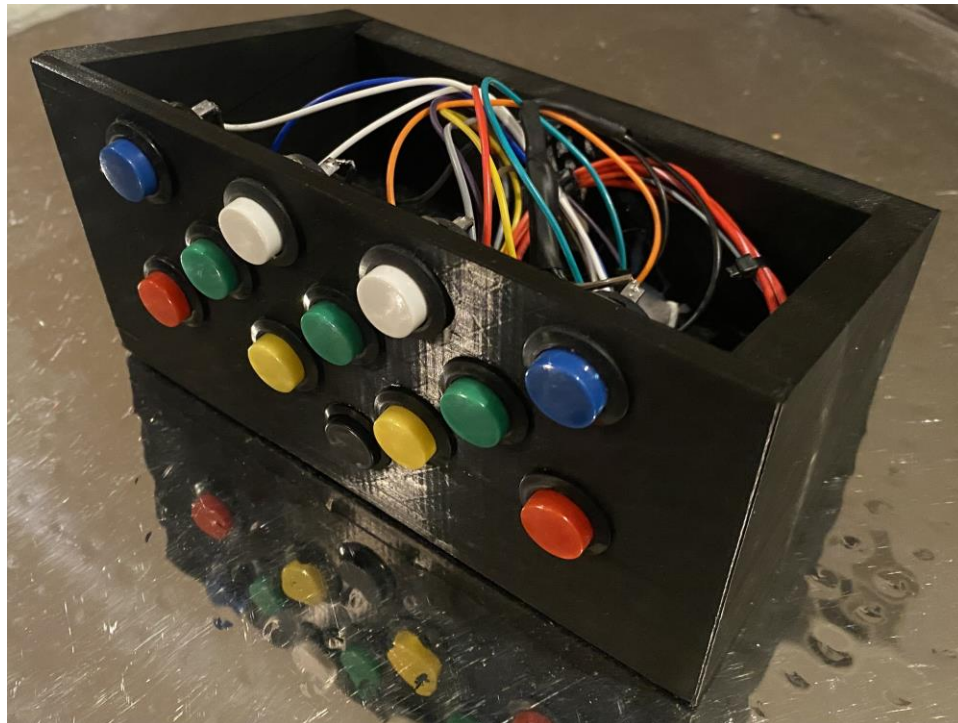


Fig. 1 Example device with 12 buttons

Customers

The target audience for the company is the driving public, car customizers, auto audio installation shops, and anyone living in areas with high rates of road rage or high pedestrian/cyclist activity.

Overall, the customer base includes anyone who owns or drives a vehicle regularly. The customer research through our surveys, social media posts and in-person events will determine the target audience age group and demographics such that vehicle drivers of a specific age and vehicle type can be identified. This analysis will identify specific customer types/groups such that the horn device and custom sounds can be tailored to fit the preferences of the target customer.

Company Description

Mission Statement

At VersaHorn, we believe that every honk is a statement. Our mission is to transform the way drivers communicate on the road by providing a diverse array of horn sounds that are fun, expressive, and enhance road safety.

Slogan

Friendly Horns, Safer Roads, Happier Commutes!

Company Advantages

VersaHorn plan on having 4 employees initially. Because of the size of the company, VersaHorn has the following advantages:

- It is easier to get customer feedback and make changes quickly
- Custom ordering allows customers to create a device that fits their specific needs

Principal Members

Levi Terry – Owner, Managing Member, VersaHorn LLC

Technician/Sales person 1

Technician/Sales person 2

Office administrator/Advertising

Legal Structure

VersaHorn will be set up as an LLC, which will help separate the liability of personal and company assets. This is also helpful in the auto accessory market because of the potential for someone to improperly install the device and be put in

danger. For IP protection, a trademark will be used for the name and logo, while a patent will protect the creation of each device.

Regulations

VersaHorn will have to comply with the following regulations:

- PCI for handling payment information
- NRS 484D.400 Horns and other warning devices

Marketing Plan

Growth Strategy

To grow the company, VersaHorn will do the following:

- Networking at manufacturing and automobile industry conferences
- Create social media pages and a company website that explains who we are, allows customers to purchase our products, and customize their purchased products.

Communication with the Customer

VersaHorn plans to communicate with its customers by:

- Utilizing social media platforms such as YouTube, Facebook, and Instagram
- Taking out ads on popular platforms such as Google Ads and social media platforms
- Providing contact information on the company website

Pinpointing Customer Base

In order to pinpoint our customer base, VersaHorn will complete the following:

- Use surveys and questionnaires to gather insights on customers' sound preferences for driving
- Create posts on social media and monitor responses
- Monitor online conversations about vehicle horns
- Identify trends and preferences with the target market
- Develop prototype devices and conduct testing, seeking feedback from a sample group of potential customers.

- Participate in field observations at car shows and other automotive events to witness real-world reactions to our prototype horns and sounds
- Perform online searches to determine if there are competitors' and if so, what differs with their products and offerings.

Market Research

Industry

VersaHorn will be a part of the auto accessories industry. Transparency market research states, "In 2017, the automotive industry accounted for 3.65% of the total global GDP." (n.d.)

Competition

VersaHorn's largest competitors include Horn Blasters, Aggressor Horns, and Pioneer. Competition in this industry is across the board for auto accessories, but audio solutions are the primary competitors. Initial research suggests that very few competitors work with horn solutions specifically. However, horn-related products can revolutionize the way drivers communicate.

Our research suggests that no current customized horn devices are available. VersaHorn would be the first. As such, the competitive market is limited to the single basic horn device manufacturers must install on their vehicles pursuant to the laws and legal responsibilities.

New Competitor Procedures.

While there are other aftermarket horn devices, they are touted as similar but louder versions of a typical "honking" device. Our current research indicates there currently are no competing devices similar to the VersaHorn. It's a unique device, and competitors are anticipated to emerge as the trending device gains popularity. We will market our device as the "original" horn communication device, providing newly updated and event-specific sounds no competitor has. Our website will offer new download trending sounds to communicate with other VersaHorn

users. Our digital sound files will be in a proprietary format only useable by VersaHorn devices.

Market Testing Procedure

A prototype was created and used to engage in several focus groups. A variety of potential driving scenarios were explained to the participants and a different sound option was given for each scenario. The focus group participants reacted positively and gave feedback for additional sound options that might also be beneficial to consumers. They recognized the appeal of being able to communicate more positively and also having fun while driving.

Product Testing Procedures

The testing procedure for VersaHorn will include several stages, starting with laboratory testing, to assess its durability, functionality, and safety. This is followed by field testing, where VersaHorn would be installed in vehicles and tested under real-world conditions to evaluate performance and user experience. The timeline for this process will span several months before the VersaHorn will be deemed ready for market release. This period allows for any necessary adjustments or modifications based on test results and will ensure that VersaHorn will meet the company's standards for quality.



Launch Plans

In order to create support before the product being available for purchase, we will start a “pre-launch” approximately 1-2 months before the actual launch. All 3 platforms will host “tease” videos to build anticipation and start a following for VersaHorn. Once VersaHorn has officially hit the market, we will announce its arrival with a special offer for the first series of buyers/supporters. We will host Facebook and Instagram “Live” videos to create additional excitement. After the initial launch, the posting schedule be initiated which consists of the following:

- 3-4 Instagram posts a week
- 2-3 Facebook posts a week
- 1-2 YouTube videos per week

We will also be engaging in additional promotional strategies in order to help VersaHorn to be seen by as many buyers as possible. We will investigate purchasing a booth at the Sema Automotive trade show in Las Vegas. We will also investigate setting up booths at car and vehicle safety events.

By combining a strong social media presence with cost-effective and diversified promotional strategies, VersaHorn will effectively reach its target audience, build brand awareness, and drive sales.

Expenses

Capital Equipment	\$4,139
Materials Inventory	\$8,292
Office Furniture & fixtures	\$10,000
Insurance	\$950
3rd Party Logo Design	\$2,800
3rd Party Services	\$1,500
3rd Party Service	\$8,500
Legal/CPA	\$2,500
State & Local Business Filings	\$850
Estimated Contingencies (20%)	\$23,158.20
Startup Expenses Total	\$138,949.20
Total Initial Investment (Owner & Co-founder)	\$35,000
Loan Amount Financed	\$112,000
Total Cash in Hand After Closing	\$8,050.80

References

Car accessories market. Transparency Market Research. (n.d.).

<https://www.transparencymarketresearch.com/car-accessories-market.html>

Kriss, R. (2020, December 16). 14 business startup costs business owners need to know. NerdWallet. <https://www.nerdwallet.com/article/small-business/business-startup-costs>

Calculate your startup costs. U.S. Small Business Administration. (2023, October 17). <https://www.sba.gov/business-guide/plan-your-business/calculate-your-startup-costs#id-identify-your-startup-expenses>

Black, M., & Tarver, J. (2023, November 3). Business startup costs: How to calculate and Budget. Forbes. <https://www.forbes.com/advisor/business-loans/business-startup-costs/>